

MARKET RESEARCH & INVESTMENT STRATEGY

Stock Markets vs Cryptocurrency, Risk Management, and the Outlook for Growth Sectors

Prepare as a part of
CodeAlpha Finance & Investment Analysis Internship

Task 4: Mini Project- Market Research & Investment Strategy

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Builds on findings from Tasks 1-3 of this internship (Stock Analysis, Crypto Portfolio Analysis, Investment Portfolio Creation)

1. Executive Summary

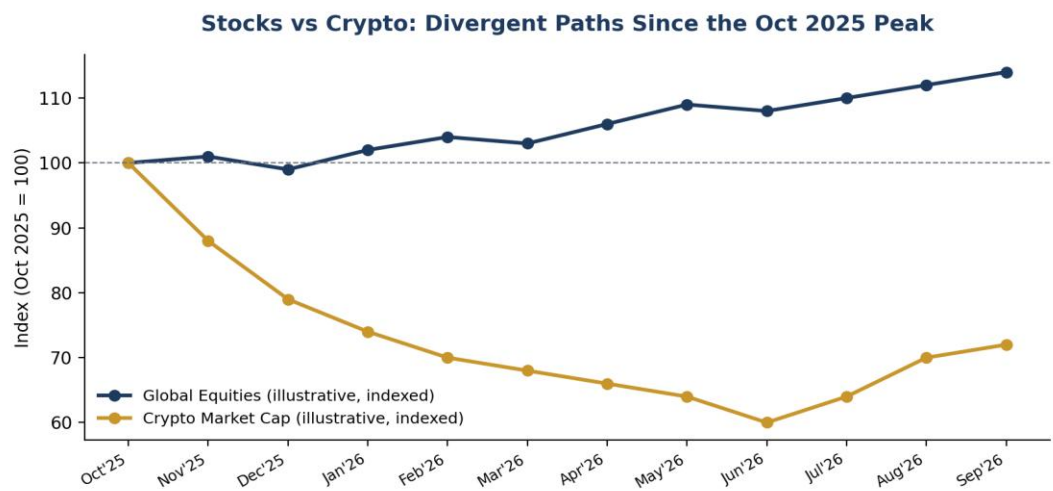
This report examines three questions central to building an informed, modern investment strategy: how stock markets and cryptocurrency markets compare and increasingly interact; how a retail investor should think about and manage risk across asset classes; and where near-term growth opportunity looks strongest across three fast-moving sectors — AI/data infrastructure, renewable energy, and specialty pharmaceuticals.

The analysis draws on live market research conducted for this internship's earlier tasks (a comparative stock analysis, a cryptocurrency risk study, and a diversified ₹1,00,000 hypothetical portfolio), extending those findings into a broader strategic view.

2. Stock Market vs Cryptocurrency Trends

Stocks and crypto have historically been treated as separate asset classes with different risk profiles, regulatory frameworks and investor bases. That distinction is blurring in 2026. Spot Bitcoin and Ethereum ETFs have pulled crypto into mainstream portfolio construction, and several analysts now note that top-tier tech stocks and Bitcoin have shown comparable daily volatility profiles for extended stretches this year — a genuine structural shift from the 2021-era gap, when Bitcoin could fall 50% in a month while the VIX stayed calm.

At the same time, the two markets diverged sharply for much of the past year. Equities (S&P 500, Nasdaq, MSCI Emerging Markets) ground broadly higher through 2026, supported by AI-driven rallies and rate-cut expectations, while major cryptocurrencies corrected significantly from their October 2025 all-time highs before staging a partial recovery in August-September 2026 (see Chart 2). May 2026 was a particularly clean example of this rotation: equities surged (Nasdaq +8.4%, S&P 500 +5.1%) in the same month Ethereum fell over 11%, consistent with capital rotating from crypto into high-growth equities.



Key Comparative Points

- Ownership & regulation: Stocks represent equity ownership in a company, are regulated by bodies like SEBI/SEC, and trade on established exchanges with shareholder rights (dividends, voting). Crypto represents ownership of a digital/network asset, trades 24/7 on both centralized and decentralized venues, and sits in a still-evolving regulatory environment.
- Volatility: Our own Task 2 research found 90-day realized volatility of ~41% for Bitcoin, ~60% for Ethereum, and ~80% for Solana — multiples of the ~13-20% typically seen in broad equity indices or large-cap stocks (Chart 1).
- Returns: Over a 2021-2026 window, one industry analysis found crypto delivered risk-adjusted returns roughly 2.4x higher than stocks, despite (and partly because of) this higher volatility — the classic risk/reward trade-off.
- Correlation: The 'crypto vs stocks' framing is increasingly giving way to 'crypto and stocks' — both are now sensitive to the same macro drivers (Fed policy, liquidity cycles, global capital flows), and institutional analysts increasingly recommend a small (1-5%) crypto allocation alongside a core equity holding, rather than treating them as competing bets.

3. Risk management in Investments

Risk management is less about avoiding risk altogether and more about being deliberately compensated for the risk taken. The following principles, several of which were directly applied in this internship's Task 3 portfolio, form a practical framework:

3.1 Diversification Across and within Asset classes

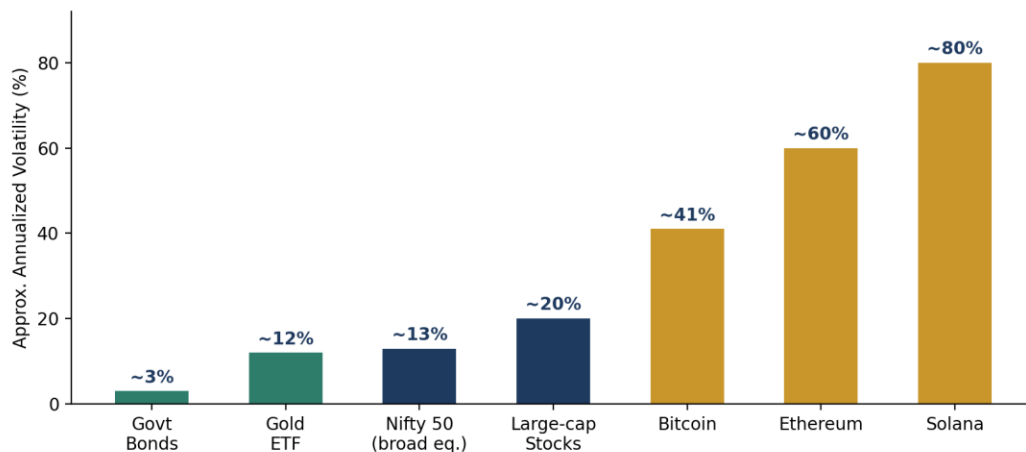
Spreading capital across asset classes with different risk/return drivers — equities, ETFs, gold, crypto — reduces the impact of any single asset's decline on the overall portfolio. Within each class, further diversification (e.g. three stocks across three unrelated sectors, as in Task 1) reduces company- and sector-specific risk.

3.2 Position Sizing & Concentration Limits

No single holding should dominate a portfolio. The Task 3 hypothetical portfolio capped every individual position at 15% of total value, ensuring that a sharp move in any one asset — however severe — has a bounded effect on overall capital

3.3 Volatility – Based Risk Tiering

The Risk Ladder: Volatility Across Asset Classes



Not all assets carry equal risk, and allocations should reflect that. Chart 1 places common asset classes on a rough volatility ladder — government bonds and gold at the low end, broad equity indices in the middle, and individual cryptocurrencies at the high end. A sound strategy sizes higher-volatility sleeves (like crypto) smaller, precisely because a given percentage move there has a larger absolute impact on returns.

3.4 Hedging & Rebalancing

- Gold and similar defensive assets often move somewhat independently of equities and crypto, providing a partial hedge during risk-off periods.
- Periodic rebalancing — trimming winners and topping up laggards back to target weights — enforces a disciplined 'buy low, sell high' habit and prevents any one sleeve from silently growing to dominate the portfolio.

3.5 Time Horizon & Liquidity Matching

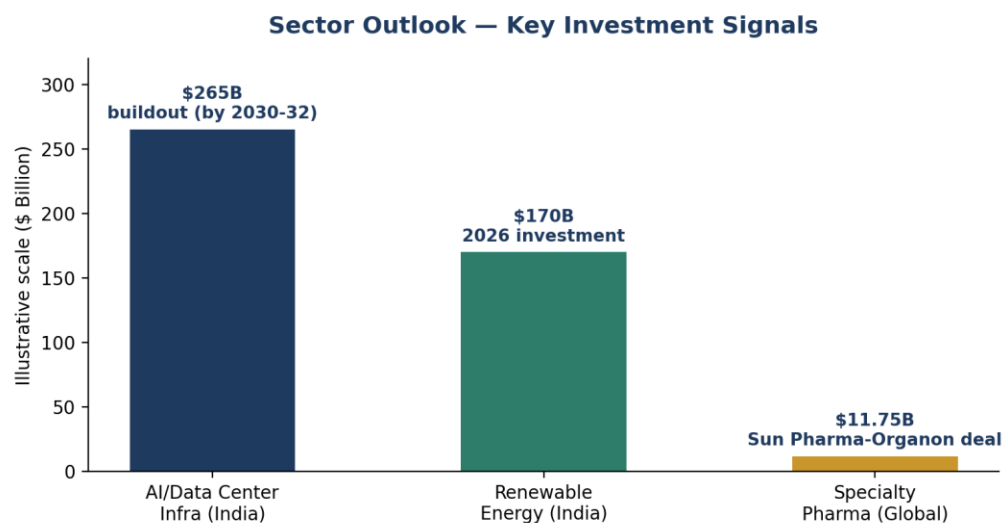
Higher-volatility assets generally need a longer holding period to ride out drawdowns; capital needed in the short term belongs in lower-volatility, more liquid instruments. Crypto's history of sharp, fast corrections (Solana fell over 55% in the past year alone per Task 2 research) makes it unsuitable for money needed within a year or two.

3.6 Avoiding Common Behavior Pitfalls

- Chasing performance: buying an asset only after it has already rallied sharply, rather than as part of a planned allocation.
- Panic-selling during drawdowns, which locks in losses that a longer holding period may have recovered.
- Over-concentration in a single 'story' stock or coin due to hype rather than fundamentals.

4. Future Outlook: Three Groth Sector

Beyond individual stock or crypto picks, sector-level trends often drive the biggest long-term returns. Three sectors stand out from current research as particularly consequential over the next several years:



4.1 AI & Data Center Infrastructure

India's AI infrastructure buildout is projected to scale from roughly \$250 million in 2023 to a market approaching \$265 billion by 2030-2032, with data center capacity having already quadrupled in five years. The sector's binding constraint has shifted from capital to power: as of 2026, AI workloads are scaling 25-35% annually while reliable electricity supply struggles to keep pace, pushing energy-first strategies (nuclear agreements, renewable power purchase agreements, behind-the-meter generation) to the center of AI infrastructure planning. Reliance's newly announced 'Reliance Intelligence' subsidiary and Adani Group's \$100 billion renewable-powered data-centre commitment (announced February 2026) both reflect this convergence of AI and energy investment themes in India specifically.

4.2 Renewal Energy

India's renewable capacity (excluding large hydro) reached roughly 190 GW by late 2025 and is projected to surpass 250 GW by 2027, with the sector sustaining 15%+ annual growth since 2016. The IEA projects \$170 billion in Indian energy-sector investment for 2026 alone, with India now investing three dollars in renewables and nuclear for every dollar in fossil-fuel generation — a ratio that has doubled in five years. The main near-term risk is not demand but execution: grid infrastructure and storage need to scale alongside generation capacity to avoid curtailment, and coal still supplies over 70% of actual (as opposed to installed) generation.

4.3 Specialty Pharmaceuticals & Healthcare

The pharmaceutical sector's growth increasingly comes from high-margin specialty drugs (oncology, dermatology, immunology) rather than traditional generics. Sun Pharma's proposed \$11.75 billion acquisition of Organon & Co. — one of the largest overseas acquisitions by an Indian pharma company

— exemplifies this shift, alongside continued FDA pipeline expansion (e.g. Ilumya's expansion into psoriatic arthritis). This sector offers a comparatively defensive growth profile: healthcare demand is less cyclical than tech or energy, though company-specific execution and regulatory risk (FDA compliance actions, acquisition integration) remain material.

5. Strategic Takeaways

- Treat stocks and crypto as complementary, not competing, sleeves of a portfolio — sized according to their very different volatility profiles rather than in equal measure.
- Apply the same diversification and position-sizing discipline within each growth sector as across the whole portfolio; a thematic tilt toward AI infrastructure, renewable energy, or specialty pharma should still be built from multiple, non-overlapping positions rather than a single bet.
- Revisit allocations periodically — sector narratives (like the AI/energy convergence highlighted above) can shift the risk/reward calculus faster than a traditional annual rebalancing cycle would capture.

6. References

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[10] Author's own research — CodeAlpha Internship Task 1 (Stock Analysis), Task 2 (Crypto Portfolio Analysis) and Task 3 (Investment Portfolio Creation), prepared September 2026, incorporating data from Tickertape, Groww, ICICI Direct, DropStab, CoinDesk and CoinGecko